Riviera Internal Audit Services

28/11/2025

# Internal audit report – purchase-to-pay cycle 2025

## 1. Executive summary

This report presents the results of the internal audit of the purchase-to-pay cycle of Azur Marine Services S.A.M. for the financial year 2025, carried out in November 2025 by Riviera Internal Audit Services at the request of the Board.

The audit identified 7 findings: 1 rated high, 4 medium and 2 low. Management has accepted all recommendations. The overall rating of the cycle is "needs improvement".

## 2. Scope and approach

Scope: purchase orders, receipt of goods and services, supplier invoices, supplier master data and payments, for the office and the three managed vessels.

Approach: walkthroughs with the Operations Manager, Accounts Payable and the Finance Director; tests on a sample of 40 invoices, 6 changes of bank details, 25 payments and the supplier master file at 31/10/2025.

## 3. Summary of findings

| Ref. | Finding | Rating | Status | Due |
|---|---|---|---|---|
| F1 | Bank detail changes accepted on e-mail only | High | 31/01/2026 | Finance Director |
| F2 | Emergency purchases not regularised | Medium | 31/01/2026 | Operations Mana… |
| F3 | POs approved above delegated limits | Medium | 31/12/2026 | Finance Director |
| F4 | Duplicate invoices | Medium | 31/03/2026 | Chief Accountant |
| F5 | Supplier statement reconciliations | Low | 31/03/2026 | Chief Accountant |
| F6 | Cut-off documentation | Low | 31/03/2026 | Chief Accountant |
| F7 | Payment fraud awareness | Medium | 31/12/2026 | Finance Director |

### 4. F1 – Bank detail changes accepted on e-mail only (High)

Observation. In 2 of the 6 changes of supplier bank details tested, the change was entered on the basis of an e-mail without any call-back. In one case the request came from an address that differed from the supplier's usual domain.

Recommendation. Introduce a mandatory call-back by a person other than the requester; document it in the master file.

Management response. Agreed. Policy PRC-FIN-04 will be updated in January 2026 (section 6 and annex E). Owner: Finance Director. Due: 31/01/2026.

### 4. F2 – Emergency purchases not regularised (Medium)

Observation. 4 emergency repairs authorised verbally on board in 2025 were never covered by a purchase order; 3 had no service report.

Recommendation. Regularisation PO within 2 working days and a signed service report before payment.

Management response. Agreed; emergency purchase form created (annex F). Owner: Operations Manager. Due: 31/01/2026.

### 4. F3 – POs approved above delegated limits (Medium)

Observation. 2 purchase orders above EUR 20,000 were approved by the Finance Director alone.

Recommendation. Block approvals above limits in the purchasing tool; report exceptions quarterly to the Board.

Management response. Agreed; quarterly reporting from Q1 2026, tool blocking planned for Q4 2026. Owner: Finance Director. Due: 31/12/2026.

### 4. F4 – Duplicate invoices (Medium)

Observation. 1 invoice booked twice in 2025 after a supplier reminder (EUR 1,940.00); detected at the year-end supplier reconciliation.

Recommendation. Search for duplicates on supplier and invoice number before booking.

Management response. Agreed; duplicate check added to the monthly close. Owner: Chief Accountant. Due: 31/03/2026.

### 4. F5 – Supplier statement reconciliations (Low)

Observation. Supplier statements were reconciled only at year end.

Recommendation. Reconcile key supplier statements monthly.

Management response. Agreed for Mediterra, Oceanic Safety and Côte d'Azur Ship Chandlers. Owner: Chief Accountant. Due: 31/03/2026.

### 4. F6 – Cut-off documentation (Low)

Observation. The accrual schedule did not reference the delivery evidence.

Recommendation. Attach delivery note or service report to each accrual.

Management response. Agreed. Owner: Chief Accountant. Due: 31/03/2026.

## 4. F7 – Payment fraud awareness (Medium)

Observation. Finance staff had not received specific training on payment fraud.

Recommendation. Annual training for finance staff.

Management response. Agreed; training scheduled. Owner: Finance Director. Due: 31/12/2026.

## 5. Rating scale

| Rating | Meaning |
|---|---|
| High | Control weakness exposing the company to a significant loss or fraud; action within 3 months |
| Medium | Weakness that should be corrected within 12 months |
| Low | Improvement opportunity |

## 6. Follow-up

Riviera Internal Audit Services will review the implementation of the open actions in November 2026 and report to the Board.

## Annex 1 – Invoices tested

| Ref. | Supplier | Date | Amount EUR | Result |
|---|---|---|---|---|
| S01 | Northstar Yacht Services | 21/08/2025 | 6,078.00 | OK |
| S02 | Northstar Yacht Services | 12/07/2025 | 19,068.00 | OK |
| S03 | Harbor Parts | 13/07/2025 | 3,601.00 | OK |
| S04 | Mediterra Marine Supplies | 25/04/2025 | 12,705.00 | OK |
| S05 | Côte d'Azur Ship Chandlers | 02/10/2025 | 1,313.00 | OK |
| S06 | Northstar Yacht Services | 03/04/2025 | 25,620.00 | No PO |
| S07 | Harbor Parts | 23/04/2025 | 21,328.00 | OK |
| S08 | Sud Marine Électricité | 12/09/2025 | 1,403.00 | OK |
| S09 | Liguria Marine Electronics | 18/04/2025 | 7,221.00 | OK |
| S10 | Côte d'Azur Ship Chandlers | 20/01/2025 | 4,203.00 | OK |
| S11 | Le Marché du Port | 18/06/2025 | 3,237.00 | OK |
| S12 | Liguria Marine Electronics | 25/05/2025 | 14,909.00 | OK |
| S13 | EcoMarine Waste Services | 06/06/2025 | 17,681.00 | No service report |
| S14 | Oceanic Safety Europe | 26/08/2025 | 13,478.00 | No PO |
| S15 | CrewLink Maritime | 25/10/2025 | 14,542.00 | OK |
| S16 | Monaco Rigging & Sails | 01/06/2025 | 20,442.00 | No service report |
| S17 | EcoMarine Waste Services | 12/04/2025 | 18,224.00 | OK |
| S18 | Northstar Yacht Services | 10/03/2025 | 9,573.00 | No service report |
| S19 | Provence Hydraulique | 12/02/2025 | 18,676.00 | OK |
| S20 | Marina Fuel Services | 27/05/2025 | 18,279.00 | OK |
| S21 | SeaGlass Coatings | 21/03/2025 | 411.00 | No service report |
| S22 | Provence Hydraulique | 18/10/2025 | 18,065.00 | No service report |
| S23 | Northstar Yacht Services | 05/09/2025 | 12,972.00 | No service report |
| S24 | EcoMarine Waste Services | 17/04/2025 | 10,458.00 | OK |
| S25 | Liguria Marine Electronics | 17/10/2025 | 13,761.00 | OK |
| S26 | Monaco Rigging & Sails | 07/04/2025 | 7,109.00 | OK |
| S27 | Harbor Parts | 21/08/2025 | 19,169.00 | OK |
| S28 | Le Marché du Port | 09/09/2025 | 772.00 | OK |
| S29 | Côte d'Azur Ship Chandlers | 14/04/2025 | 5,062.00 | No service report |
| S30 | Marina Fuel Services | 08/06/2025 | 8,898.00 | OK |
| S31 | Monaco Rigging & Sails | 24/06/2025 | 24,693.00 | OK |
| S32 | Provence Hydraulique | 13/04/2025 | 20,219.00 | OK |
| S33 | Le Marché du Port | 26/03/2025 | 2,939.00 | OK |
| S34 | Kairos IT Services | 05/04/2025 | 22,308.00 | No PO |
| S35 | Sud Marine Électricité | 26/10/2025 | 18,659.00 | OK |
| S36 | Harbor Parts | 25/06/2025 | 24,188.00 | OK |
| S37 | CrewLink Maritime | 12/06/2025 | 17,356.00 | No PO |
| S38 | Oceanic Safety Europe | 09/02/2025 | 5,293.00 | OK |
| S39 | SeaGlass Coatings | 15/10/2025 | 14,387.00 | No PO |
| S40 | Liguria Marine Electronics | 14/06/2025 | 11,246.00 | No service report |

## Annex 2 – Payments tested

| Ref. | Supplier | Date | Amount EUR | Bank details |
|---|---|---|---|---|
| P01 | Côte d'Azur Ship Chandlers | 25/04/2025 | 20,135.00 | IBAN on file |
| P02 | SeaGlass Coatings | 28/02/2025 | 11,349.00 | IBAN on file |
| P03 | CrewLink Maritime | 05/08/2025 | 21,746.00 | IBAN on file |
| P04 | CrewLink Maritime | 17/02/2025 | 3,734.00 | IBAN on file |
| P05 | SeaGlass Coatings | 12/10/2025 | 2,365.00 | IBAN on file |
| P06 | Kairos IT Services | 19/02/2025 | 22,904.00 | IBAN changed (F1) |
| P07 | Liguria Marine Electronics | 11/05/2025 | 7,788.00 | IBAN on file |
| P08 | Liguria Marine Electronics | 09/04/2025 | 21,364.00 | IBAN on file |
| P09 | Monaco Rigging & Sails | 13/09/2025 | 19,558.00 | IBAN on file |
| P10 | CrewLink Maritime | 25/05/2025 | 18,807.00 | IBAN on file |
| P11 | Monaco Rigging & Sails | 11/04/2025 | 9,473.00 | IBAN on file |
| P12 | Monaco Rigging & Sails | 21/01/2025 | 12,116.00 | IBAN on file |
| P13 | Le Marché du Port | 18/10/2025 | 15,669.00 | IBAN on file |
| P14 | Marina Fuel Services | 23/02/2025 | 21,986.00 | IBAN on file |
| P15 | Sud Marine Électricité | 12/07/2025 | 2,004.00 | IBAN on file |
| P16 | Kairos IT Services | 28/05/2025 | 3,292.00 | IBAN on file |
| P17 | Kairos IT Services | 17/07/2025 | 16,508.00 | IBAN on file |
| P18 | Provence Hydraulique | 03/05/2025 | 4,147.00 | IBAN on file |
| P19 | CrewLink Maritime | 12/09/2025 | 1,300.00 | IBAN on file |
| P20 | Northstar Yacht Services | 23/08/2025 | 10,469.00 | IBAN on file |
| P21 | Provence Hydraulique | 09/05/2025 | 4,485.00 | IBAN on file |
| P22 | Mediterra Marine Supplies | 24/10/2025 | 25,104.00 | IBAN on file |
| P23 | SeaGlass Coatings | 21/05/2025 | 1,895.00 | IBAN on file |
| P24 | Monaco Rigging & Sails | 01/05/2025 | 10,339.00 | IBAN on file |
| P25 | Mediterra Marine Supplies | 06/06/2025 | 18,305.00 | IBAN on file |

## Annex 3 – Persons met

| Name | Function | Date |
|---|---|---|
| Philippe Andrieu | Chief Executive Officer | 03/11/2025 |
| Claire Martin | Finance Director | 03/11/2025 |
| Thomas Rinaldi | Operations Manager | 04/11/2025 |
| Inès Morel | Chief Accountant | 05/11/2025 |
| Sofia Bianchi | Accounts Payable Accountant | 05/11/2025 |
| Capt. James Whitfield | Master, M/Y Aurelia | 06/11/2025 |